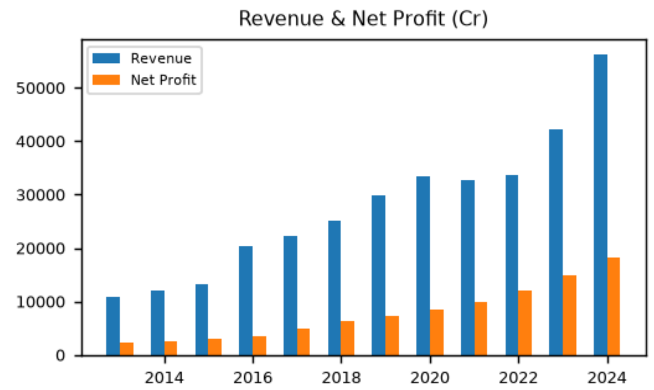
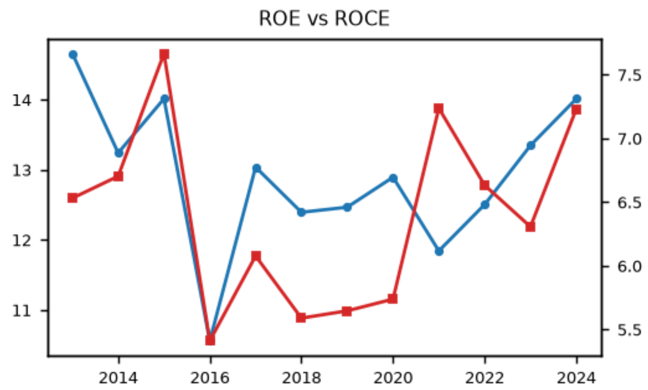
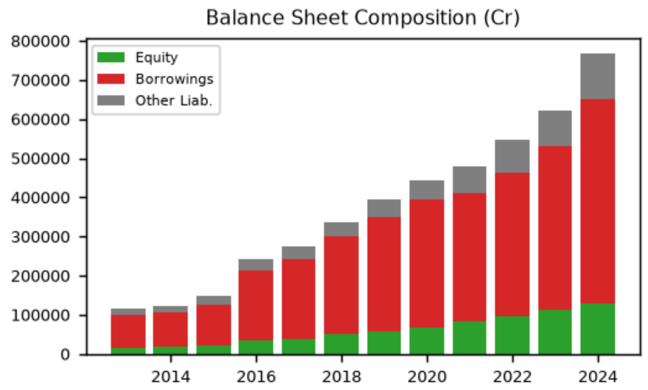
Kotak Mahindra Bank Ltd (KOTAKBANK)

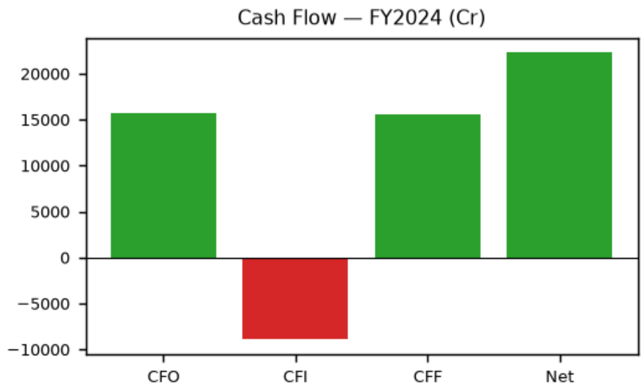
Financials · Fiscal Year 2024

ROE 14.0%	**ROCE** 7.2%	**Net Profit Margin** 32.4%
D/E 4.0	**Revenue CAGR 5yr** 13.5%	**FCF (Cr)** 6,766









Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Mixed